14. Income Taxes

Income (loss) before income taxes was as follows (in thousands):

	Year Ended December 31,	
	2022	2021
Domestic	$ (337,348)	$ (343,444)
Foreign	406	74
Total	$ (336,942)	$ (343,370)

The components of the provision (benefit) for income taxes were as follows (in thousands):

	Year Ended December 31,	
	2022	2021
Current income tax provision:		
Federal	$ —	$ —
State	12	—
Foreign	135	65
Total current provision for income taxes	$ 147	$ 65
Deferred income tax provision (benefit):		
Federal	$ —	$ (349)
State	—	(108)
Foreign	—	—
Total deferred provision (benefit) for income taxes	—	(457)
Total provision (benefit) for income taxes	$ 147	$ (392)

A reconciliation of the U.S. federal statutory income tax rate to the Company's effective tax rate was as follows:

	Year Ended December 31,	
	2022	2021
Tax at statutory rate	21.00 %	21.00 %
State tax, net of federal benefit	0.05 %	0.04 %
Permanent differences	0.13 %	1.16 %
Stock-based compensation	(1.93)%	(0.18)%
Change in valuation allowance	(10.87)%	(22.17)%
Non-deductible compensation	(8.68)%	— %
Other	0.26 %	0.26 %
Total rate	(0.04)%	0.11 %

The Company's net deferred tax assets consisted of the following (in thousands):

	December 31,	
	2022	2021
Net operating loss carryforwards	$ 436,871	$ 393,967
Intangibles	5,359	4,719
Capitalized research and development	13,476	—
Research and development credits	8,972	7,221
Accruals and other reserves	18,053	18,386
Inventory reserve	14,618	10,415
Stock-based compensation	9,099	34,622
Lease liability	5,704	6,546
Other	2,297	2,427
Deferred tax assets before valuation allowance	514,449	478,303
Valuation allowance	(500,759)	(459,885)
Deferred tax assets after valuation allowance	13,690	18,418
Deferred tax liability on fixed assets	(9,119)	(13,107)
Deferred tax liability on ROU Asset	(4,571)	(5,311)
Net deferred tax assets	$ —	$ —

As of December 31, 2022, the Company recorded a valuation allowance of $500.8 million for the portion of the deferred tax assets that the Company does not expect to be realized. The valuation allowance on the Company's net deferred tax assets increased by $40.9 million and $92.0 million during the years ended December 31, 2022 and 2021, respectively. The changes in valuation allowance are primarily due to additional U.S. deferred tax assets and liabilities incurred in the respective year. The Company continues to monitor the realizability of the U.S. deferred tax assets taking into account multiple factors, including the results of operations, historic losses and magnitude of excess tax deductions for stock-based compensation. The Company intends to continue maintaining a full valuation allowance on the Company's U.S. deferred tax assets until there is sufficient evidence to support the reversal of all or some portion of these allowances. Release of all, or a portion, of the valuation allowance would result in the recognition of certain deferred tax assets and a decrease to income tax expense for the period the release is recorded.

As of December 31, 2022, the Company had $1,723.9 million and $1,281.2 million of federal and state net operating loss (“NOL”) carryforwards, respectively, available to offset future taxable income. The federal and state NOL carryforwards, if not utilized, will generally begin to expire starting in 2023. Of the total federal NOL carryforwards, $1,300.4 million were generated post December 31, 2017 and have no expiration.

As of December 31, 2022, the Company had research and development tax credits available to offset federal and California tax liabilities in the amount of $8.2 million and $12.3 million, respectively. Federal credits will begin to expire in 2027 and California state tax credits have no expiration.

The federal and state NOLs and credit carryforwards are subject to change of ownership limitations provided by the Internal Revenue Code and similar state provisions. In general, if the Company experiences a greater than 50 percentage point aggregate change in ownership over a 3-year period (a “Section 382 ownership change”), utilization of its pre-change NOL and credit carryforwards are subject to an annual limitation. In addition, certain attributes are subject to annual limitations as a result of the acquisition of ioTium, which constitutes a change in ownership as defined under Section 382. Such limitations may result in expiration of a portion of the carryforwards before utilization. The Company’s ability to use NOL carryforwards, research and development credit carryforwards and other tax attributes to reduce future taxable income and liabilities may be further limited as a result of future changes in stock ownership. As a result, if the Company earns net taxable income, its ability to use pre-change NOL carryforwards or other pre-change tax attributes to offset United States federal and state taxable income may still be subject to limitations, which could potentially result in an increased future tax liability. The Company has experienced ownership changes since its inception and there have been limitations on net operating losses and tax credits, which have resulted in tax attributes being permanently written-off against its deferred tax assets.

The Company maintained undistributed earnings overseas as of December 31, 2022. As of December 31, 2022, the Company believed the funds held by all non-US subsidiaries will be permanently reinvested outside of the U.S. However, if these funds were repatriated to the U.S. or used for U.S. operations, the Company may be subject to withholding taxes in the foreign countries. As a result of tax reform, the Company's unrepatriated earnings are no longer subject to federal income tax in the U.S. when distributed.

On March 27, 2020, the Coronavirus Aid, Relief and Economic Security ("CARES") Act was signed into law. The CARES Act includes provisions relating to refundable payroll tax credits, NOL carryback periods, alternative minimum tax credit refunds, modifications to the net interest deduction limitations and technical corrections to the tax depreciation methods for qualified improvement property. The CARES Act had an immaterial impact on the Company's income taxes in fiscal year 2022 and 2021.

Uncertain Tax Positions

The Company establishes reserves for uncertain tax positions based on the largest amount that is more-likely-than-not to be sustained. An uncertain income tax position will not be recognized if it has less than a 50% likelihood of being sustained. The Company performs a two-step approach to recognizing and measuring uncertain tax positions. The first step is to evaluate the tax position for recognition by determining if the weight of available evidence indicates that it is more likely than not that the position will be sustained on audit, including resolution of related appeals or litigation processes, if any. The second step is to measure the tax benefit as the largest amount that is more than 50% likely of being realized upon settlement.

Although the Company believes it has adequately reserved for its uncertain tax positions, no assurance can be given that the final tax outcome of these matters will not be different. The Company adjusts these reserves in light of changing facts and circumstances, such as the closing of a tax audit or the refinement of an estimate. The provision for income taxes includes the impact of reserve provisions and changes to reserves that are considered appropriate, as well as the related net interest and penalties.

The following table summarizes the activity related to the Company's gross unrecognized tax benefits (in thousands):

	Year Ended December 31,	
	2022	2021
Balance at beginning of year	$ 8,357	$ 6,593
Decreases related to prior year tax positions	—	—
Increases related to prior year tax positions	89	—
Increases related to current year tax positions	1,819	1,764
Balance at end of year	$ 10,265	$ 8,357

The balance of gross unrecognized tax benefits as of December 31, 2022 and 2021 was $10.3 million and $8.4 million, respectively, none of which would affect the Company's income tax expense if recognized. The Company does not expect its unrecognized tax benefits to change significantly over the next 12 months. It is the Company's policy to recognize interest and penalties related to income tax matters in income tax expense. As of December 31, 2022, the Company had no accrued interest and penalties related to uncertain tax positions.

The Company currently has no federal, state or foreign tax examinations in progress, nor has it had any federal, state or foreign examinations since inception. The Company files U.S., state, and foreign income tax returns in jurisdictions with varying statutes of limitations. The 2007 through 2022 tax years generally remain subject to examination by U.S. federal and California state tax authorities due to the Company's NOL carryforwards. For significant foreign jurisdictions, the 2016 through 2022 tax years generally remain subject to examination by their respective tax authorities.